

1. Investors do not have mean-variance utility.

We covered many more realistic utility functions in chapter 2. Utility functions that can capture the greater risk aversion investors have to downside losses can dramatically lower optimal holdings of equities. Investors with disappointment utility, in particular, will optimally not participate in the stock market, as shown by Ang, Bekaert, and Liu (2005).

2. Participation costs.

These costs include both the transaction costs of actually purchasing equities, but more broadly they include the expense of becoming financially educated and the “psychic” cost of overcoming fears of investing in the stock market. Consistent with a participation cost explanation, Table 3.12 shows that more people have invested in stocks as equities have become easier to trade since the 1980s with the arrival of online trading and easier access to mutual funds. According to Vissing-Jørgensen (2002), a cost of just \$50 in year 2000 prices explains why half of non-stockholders do not hold equities. Conversely, Andersen and Nielsen (2010) conclude that participation costs cannot be an explanation. In their somewhat morbid paper, they examine households inheriting stocks due to sudden deaths. These households pay no participation costs to enter stock markets, yet most of these households simply sell the entire equity portfolio and move the proceeds into risk-free bonds.

3. Social factors.

Several social factors are highly correlated with holding equities. Whether you invest in equities depends on whether your neighbor invests in equities and whether you are politically active. Non-equity holders may have less trust in markets than their peers. Investors’ expectations of returns are highly dependent on whether they have been burned by previous forays into the stock market.²³ Provocatively, Grinblatt, Keloharju, and Linnainmaa (2012) find that the more intelligent the investor, the more he or she invests in stocks.

Whatever the reason, my advice is: Don’t be a non-participant. Invest in the stock market. You’ll reap the equity risk premium too (see chapter 8). But do so as part of a diversified portfolio.

4. Garbage In, Garbage Out

Mean-variance frontiers are highly sensitive to estimates of means, volatilities, and correlations. Very small changes to these inputs result in extremely

²³ See Hong, Kubik, and Stein (2004) for social interaction, Bonaparte and Kumar (2013) for political activism, Guiso, Sapienza, and Zingales (2008) for trust, and Malmendier and Nagel (2011) for investors being affected by past stock market returns.